



RateGain Travel Technologies (RATEGAIN)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID — CHASING

CMP ₹756	52W H / L ₹801.85 / ₹417.60	MKT CAP ₹8,934 Cr	P/E (TTM) VS SECTOR 40.4x · rich vs ~30x SaaS	ROE / ROCE 12.0% / 13.7%
PROMOTER (Δ, PLEDGE) 48.77% · -7pp/3y · 0 pledge	FII / DII Δ 4.97% / 1.99% · Sundaram ↑	BETA ~1.0 (approx)	ADV N/A — verify	NET DEBT ~₹780 Cr (Sojern); ₹949 Cr gross

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

Q1 FY27 print (early Aug 2026) is the first clean quarter with Sojern fully consolidated and the ~\$12M annualized cost synergies visible — the proof point that must validate the margin step-up to 21.5–22.5% the 83% rally has already priced.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial inflection (M&A synergy)	FY27 EBITDA ₹650–700 Cr @ 21.5–22.5%; ~\$12M opex saved	HIGH	Q1 FY27 results — early Aug 2026

Priced in? Largely. Stock +83% off the April low and trades **above the ₹720 consensus average target**; success is the base case, so upside on an in-line print is limited — disappointment carries the asymmetry. · Source: Q4 FY26 concall & press release, 22 May 2026; Business Standard, 01 Jun 2026

BULL

₹875–900

Synergies + organic re-accelerate; margin beats — re-rate to Anand Rathi target (+16–19%).

BASE

₹740–800

In-line; margins track guidance — range-bound consolidation near 52W high.

BEAR

₹620–660

Organic only 12–15% disappoints / earn-out drags margin — de-rate to consensus avg (~13–18%).

A genuine scale story — Adara + Sojern make RateGain the world's largest travel-intent data platform with a ₹2,860 Cr exit run-rate — but at 40x TTM earnings and trading above every published target after an 83% run, the easy money is made; the next leg needs Q1 FY27 to convert acquisition optics into clean organic margin, not just consolidated revenue.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial	FY27 revenue guidance — full-year Sojern	+65–70% reported growth (organic only 12–15%; CC 10–12%)	H	FY27	Q4 concall, 22 May 2026
Capital	Deleveraging — clear \$93.5M acquisition debt	Interest-cost relief; target nil net debt	M	By FY28	Q4 concall, 22 May 2026
Ownership	Institutional accumulation — Sundaram MF	Stake 4.67% → 5.47% (+9.4 lakh sh)	M	22 May 2026	Exchange filing
Mgmt change	CFO transition — Rohan Mittal exits	Overhang; Ankit Aggarwal interim CFO	M	Eff. 08 May; till 05 Aug 2026	Exchange filing, May 2026
Product	AI / travel-intent cross-sell on merged base	Pricing power; ARPU uplift (qualitative)	M	FY27	Q3/Q4 FY26 concall
Sentiment	Brokerage targets vs CMP	Anand Rathi ₹875 / Investec ₹775 vs avg ₹720	L	Ongoing	Anand Rathi; Investec, 2026

IN the price: a successful Sojern integration, 65–70% FY27 revenue growth, and margin recovery to 21.5–22.5% — the stock trades **above the ~₹720 average 12-month target** after the 83% rally. Coverage is constructive (Anand Rathi BUY ₹875; Investec BUY ₹775). **NOT yet in:** proof that **organic** growth (only 12–15%) can carry the multiple once the inorganic base-effect fades, and clean post-earn-out margins. With consensus already behind the price, the burden of proof now sits with delivery, not narrative.

Entry zone	₹700–720 on pullback
Stop (below breakout base / ~50-DMA)	₹660 (approx – verify)
Target 1 / Target 2	₹800 / ₹875
R:R · suggested size	~1:1.5 at entry · 2–3% cap

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	40× P/E on 12–15% organic; price > all-target avg	–15–20%	H
Organic-growth optics	Street conflates 65–70% headline with organic	–10–15%	M
Sojern earn-out / integration	Deferred consideration drags reported margin	–8–12%	M
Travel-demand + FX cyclicity	USD-heavy revenue; global travel slowdown	–10%	M
CFO transition overhang	Permanent CFO unfilled mid-integration	–5–8%	M
Acquisition debt	₹949 Cr gross debt; rate/interest cost	–5%	L

CATALYST CALENDAR

DATE	EVENT
05 Aug 2026	Interim-CFO handover deadline (Mittal exits ops)
~Early Aug 2026	Q1 FY27 results + concall — synergy proof point
Q1 FY27	~\$12M annualized Sojern cost savings fully visible
FY27 (ongoing)	Acquisition-debt paydown toward nil by FY28
Aug-Sep 2026	AGM / annual report — RPTs, earn-out terms

AVOID — CHASING

High-quality compounder, wrong entry. After +83% and trading above every published target on 40× TTM earnings, a fresh swing long at ₹756–800 offers poor reward-for-risk; wait for the setup, not the story. **Flips the call:** a pullback into ₹700–720 *or* a Q1 FY27 print confirming the margin step-up to 21.5%+ with organic growth holding — either turns this to TACTICAL LONG toward ₹875.

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a recommendation to buy/sell. RateGain is a SaaS provider to travel & hospitality; figures reflect post-Sojern consolidation and large reported-growth base effects — read headline growth alongside organic/CC growth. Verify live price, DMAs, beta and ADV on your terminal before acting.

Sources: RateGain Q4 FY26 press release & earnings concall (22 May 2026); Screener.in consolidated (accessed 03 Jun 2026); Business Standard (01 Jun 2026); MarketsMojo / Inc42 (01 Jun 2026); Anand Rathi & Investec broker notes (2026); Trendlyne / company exchange filings (shareholding, CFO transition). Discarded stale reads: earlier ₹766.70 52W-high (29 May) superseded by ₹801.85 intraday high (01 Jun).

Generated 03 Jun 2026 · Not investment advice — verify against latest filings before acting.